THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

COMPANY PETITION NO. CAA-24 (PB) /2018

Under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In the matter of

Scheme of Amalgamation
of
Flipkart Digital Media Private Limited

.....Transferor Company/ Petitioner Company

WITH

Instakart Services Private Limited

.....Transferee Company/Non-Petitioner Company

Judgment delivered on: 16 .01.2020

CORAM:

Mr. B.S.V. PRAKASH KUMAR, HON'BLE PRESIDENT

Mr. S. K. MOHAPATRA, HON'BLE MEMBER (T)

For Petitioner: Mr. Kartikey Gupta, Advocate

For the OL: Mr. Saurabh Sapra, Advocates

For the RD: Mr. S.V. Chak, Technical Assistant

For ITD : Ms. Esha Kadian, Standing Counsel

Ms. Lakshmi Gurung, Sr. Standing Counsel

ORDER

S. K. Mohapatra, Member

1. This petition has been filed by the Petitioner Transferor Company under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the Petitioner Transferor Company into the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme") has been placed on record.

2. The "Petitioner Company/Transferor Company", M/s Flipkart Digital Media Private Limited was incorporated on 03.11.2010 under the provisions of companies Act, 1956, and its registered office is presently situated at Khasra No. 299/1, (0-19), 299/2 (1-0), Village Barthal , New Delhi-110029.

3. A perusal of the petition discloses that initially the First Motion application seeking directions for dispensing with the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the petitioner transferor company

was filed before this Bench vide Company Application (CAA) No. 04/(PB) /2017 and based on such application moved under Sections 230 to 232 of the Companies Act, 2013, the meetings of the equity Shareholders, secured creditors and unsecured creditors of the petitioner transferor company were dispensed with vide order dated 02.02.2018.

4. Thereafter, on 28.03.2018 the Petitioner was directed to carry out publication in the newspapers "Business Standard" (English, Delhi edition) and "Jansatta" (Hindi, Delhi edition). In addition to the public notice, notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department and to the other relevant sectoral regulators.

5. It is seen from the records that the Petitioner transferor company has filed an affidavit dated 19.05.2018 affirming compliance of the order passed by the Tribunal dated 28.03.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 07.05.2018 as well as in 'Jansatta' Hindi edition

on 07.05.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of the petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been enclosed.

6. The Regional Director has filed its representation initially on 16.07.2019 in which some observations have been raised by the Regional Director in respect of the proposed Scheme. In respect of which the Petitioner Company has filed an additional affidavit clarifying the observations raised by the Regional Director. Subsequently, the Regional Director has filed another report dated 16.09.2019 and submitted that reply filed by the petitioner company appears to be satisfactory.

7. It is pertinent to state here that at the time of final hearing on 06.01.2020, the Ld. Counsels on behalf of the Income Tax Department, Official Liquidator and Regional Director have not raised any objection in respect of the approval of the Scheme.

8. The department of Income Tax has filed its report and submitted as follows:

> **Point No. 8:** *"The companies do not meet the conditions laid down under Section 72A of the Income Tax Act, hence, benefit of Section 72A with respect to unabsorbed depreciation and carry forward losses of M/s Flipkart Digital Media Pvt. Ltd. would not be available to M/s. Instakart Services Pvt. Ltd. as Qlintimated by the Assessing Officer of the amalgamating company, M/s Flipkart Digital Media Pvt. Ltd."*
>
> **Point No. 20:** *"M/s. Instakart Services Pvt. Ltd. is not eligible to claim unabsorbed depreciation and carry forward losses of M/s. Flipkart Digital Media Pvt. Ltd."*

9. In response to the aforementioned observation the Transferor Company vide its affidavit dated 19 July 2019 submitted the following:

> *"In response to the observation of the Income Tax Department, the Transferee Company undertakes to comply with the*

conditions laid down in Section 72A of the IT Act in utilizing any unabsorbed depreciation and carry forward losses of the Transferor Company if available under the IT Act."

10. In view of the objection of the Income Tax Department and the undertaking given by the petitioner company in that respect, it is directed that the provisions of Section 72A of the IT Act shall be strictly complied with by the transferee company in utilizing any unabsorbed depreciation and carry forward losses of the Transferor Company if available under the IT Act.

11. Additionally, it is clarified that there shall be no limitation on the power of the Income tax Department for recovery of pending Income Tax dues, including imposition of penalties etc. from the petitioner company as provided in law.

12. The Official Liquidator has filed its report wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the Scheme in any

manner and that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. The petitioner has affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Company.

14. It is also submitted in the petition that the appointed date of the Scheme shall be 01.04.2017. the share exchange ratio as per clause 12.2 of the Scheme is as follows:

a) *"38 equity share of the Transferee Company for every 10,000 equity shares held in the Transferor Company.*

b) *38 equity share of the Transferee Company for every 10 , 000 compulsorily convertible preference shares held in the Transferor Company."*

15. Certificate of Statutory auditor of the petitioner company has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting

Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

16. It has also been affirmed in the petition that Scheme is in the interest of the Transferor Company and the transferee company including their shareholders, creditors, employees and all concerned.

17. The shareholders of the applicant company are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230-232 of the Companies Act of 2013 will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

18. In the case of Hindustan Lever Employees Union Vs. Hindustan Lever Limited (1995) 5 SCC 491 the three Judges Bench of Hon'ble Supreme Court held that:

" A company court does not exercise appellate jurisdiction over a scheme and its jurisdiction is limited to ascertaining fairness, justness and reasonableness of the Scheme and to ensure that neither any law has been violated or public interest compromised in the process."

19. Right to apply for the sanction of the Scheme has been statutorily provided under Section 230-234 of the Companies Act, 2013 and therefore, it is open to the applicant company to avail the benefits extended by statutory provisions and the Rules.

20. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner company to the proposed Scheme, and the report filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, official liquidator, Income Tax Department and as there are no objection received from any quarter; there appears to be no impediment in sanctioning the present Scheme.

21. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

22. The Petitioner shall however remain bound to comply with the statutory requirements in accordance with law.

23. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

24. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

25. **THIS TRIBUNAL DO FURTHER ORDER**

1. *That the Transferor Company shall stand dissolved without following the process of winding-up; and*
2. *That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall*

pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company; and

3. *That all the liabilities and duties of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and*
4. *That all proceedings now pending by or against the Transferor Company, be continued by or against the transferee company; and*
5. *That all the employees of the Transferor Company, in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the Transferor Company on the said date.*
6. *That Petitioner company shall within thirty days of the date of the receipt of this order cause a certified copy of*

this order to be delivered to the concerned Registrar of Companies for registration and on such certified copy being so delivered the Transferor Company shall be dissolved and the concerned Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to both the Companies shall be consolidated accordingly; and

7. *That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.*

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

-Sd-

(B.S.V. PRAKASH KUMAR)

PRESIDENT

-Sd-

(S. K. MOHAPATRA)

MEMBER (T)

Ashwani